

However, Setty has to provide leadership in assessing risk and return to take the bank to newer heights.

The expansion of SBI's digital offering, Yono 2.0, will require Setty's attention. With a user base of over 74 million, it offers pre-approved personal loans and instant auto loans.

With climate risk becoming a critical concern for policymakers and regulators, the bank has started mobilising green term deposits to finance these initiatives. This is an area that necessitates his close attention. The falling CASA ratio is another such challenge. As depositors seek better returns from equity investments, the banking industry is confronted with a declining CASA ratio. SBI holds 23% market share in deposits and has a CASA ratio of 41%.

"SBI has fared better in this cycle, but continuing the same would call for heavy investment in the physical infrastructure. That said, the bank's otherwise higher operating expenditure remains a key drag on the return on assets (ROA), and thus the new Chairman will have a challenge on hand to manage a healthy ROA, despite these cost challenges," says Anand Dama, Head BFSI at Emkay Global Financial Services.

Vaibhav Vidwani, Research Analyst at brokerage firm Bonanza Portfolio, says the declining CASA ratio is impacting SBI's cost of funds, putting pressure on net interest margins (NIMs) and net profitability.

"The improvement in asset quality was seen across all segments, barring the personal segment, which saw a marginal uptick in gross NPAs, which acted as a risk for banks as it also impacted credit costs adversely," Vidwani says. He adds that if the retail segment affects asset quality in the upcoming quarters, it could increase credit costs for banks and put pressure on profitability.

Finally, the listings of SBI Payment Services Ltd and SBI General Insurance Company Ltd are also lined up. While the incumbent Chairman Khara has been able to manage with a lower capital buffer, Dama of Emkay says the new Chairman will have to decide whether to raise capital from the market after exploring potential options to generate one-off gains, including the sale of its stake in YES Bank. Clearly, Setty has a lot on his plate for the next three years. **BT**

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TWO-WHEELERS

Freedom Jam

Bajaj Auto is looking to reclaim leadership in the entry-level two-wheeler segment with its first CNG-powered bike

BY ASTHA ORIEL



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BREAKING THE MOULD Rajiv Bajaj, MD of Bajaj Auto (left), and Union Minister Nitin Gadkari at the launch of the Freedom 125

► **"WE WANT TO** return the favour to Hero and Honda after 30 years," Rajiv Bajaj, Managing Director of Bajaj Auto, said during the launch of Freedom 125—the world's first motorcycle to run on compressed natural gas (CNG). This could mark a defining moment in the domestic two-wheeler industry as Bajaj Auto looks to reclaim leadership in the entry-level two-wheeler segment.

Right up until the early 1990s, Bajaj Auto dominated the domestic market with its iconic Chetak scooters. But that changed when Hero Honda introduced the Splendor 100cc motorcycle in 1993. By 1997-98, Hero Honda overtook Bajaj Auto, mirroring a paradigm shift in the industry, which went from being 70% scooters to 70% motorcycles.